PROCEDURE FOR RECONCILIATION

Before the Cash Receipts Journal and the Cash Payments Journal are closed off, entries in these journals are compared with entries on the Bank Statement for the month. The following reconciliation procedure should be followed:

STEP 1

Compare the previous month's Bank Reconciliation Statement against the present month's Bank Statement. Tick off the entries that are similar by using (√). Mark the entries that were not ticked off by using an asterisk (*). These (*) entries must now appear in the Bank Reconciliation Statement.

STEP 2

Compare the bank column of the CRJ against the credit column of the Bank Statement. Tick off the entries that are similar. Mark the entries that were not ticked off by using an asterisk. These (*) entries in the CRJ must now appear in the Bank Reconciliation Statement (credit), and the (*) entries in the Bank Statement must now appear in the CRJ.

STEP 3

Compare the bank column of the CPJ against the debit column of the Bank Statement. Tick off the entries that are similar. Mark the entries that were not ticked off by using an asterisk. These (*) entries in the CPJ must now appear in the Bank Reconciliation Statement (debit), and the (*) entries in the Bank Statement must now appear in the CPJ.

STEP 4

Compare the net salary cheque number column of the Salaries Journal against the Bank Statement. Tick off the entries that are similar. Mark the entries that were not ticked off by using an asterisk. These (*) entries in the Salaries Journal must now appear in the Bank Reconciliation Statement (debit).

SUMMARY OF STEPS 1 – 4		
Bank Reconciliation Statement [Previous Month]	COMPARE	Bank Statement - Debit - Credit
Cash Receipts Journal [deposits]		
Cash Payments Journal [cheques]		
Salaries Journal [cheques]		
Unmarked entries (*) to appear in the Bank Reconciliation Statement		Unmarked entries (*) to appear in CRJ and CPJ

STEP 5

Dishonoured or R/D cheques are entered in the CPJ.

STEP 6

Errors in the Cash Payments Journal should be treated in the following ways:

- If there is an overstated error, a correction for the difference must be made in the Cash Receipts Journal.
- If there is an understated error, a correction for the difference must be made in the Cash Payments Journal.

STEP 7

Post-dated cheques should be treated as follows:

- For received cheques, there is no entry.
- Issued cheques must be entered in the Cash Payments Journal and will appear in the Bank Reconciliation Statement as outstanding cheques.

The Cheque:

If a bank dishonours a cheque, it refuses to pay out money for it. A dishonoured cheque is also referred to as a returned or R/D (referred to drawer) cheque.

When your cheque is met from making a payment it is sent back to you with your Bank Statement. If your cheque is not met i.e. dishonoured, it will be sent back to the **payee** (this is referred to as 'bounced'). They will then contact the **drawer** for payment. Why can a cheque be dishonoured? If you pay for something by issuing a cheque and you don't have enough funds in your account to meet it, it will be dishonoured when it is presented for payment.

Parties to a cheque:

- **Drawer** – the person or the business who fills in the cheque.
- **Drawee** – the bank instructed to make the payment.
- **Payee** – the person or business receiving payment on the cheque.